

# UNIVERSITY OF PORT HARCOURT FACULTY OF LAW

## TOPIC: CONCEPT OF PROPERTY

The term ‘**property**’ in law means title, dominion or ownership. It is the highest possible right exercisable over goods. **Section 62 of the SGA, 1893** defines property as: “the general property in goods, and not merely special property.”

As stated in **Eichholz v Bannister**, the seller, by the very act of selling, holds out to the buyer that he is the owner of the article he offers for sale.

→ From the provisions of **Section 1(1) of the SGA, 1893** and from every other provision of the Act, the purpose of a contract of sale is to transfer ownership (property) in the goods from the seller to the buyer.

### Transfer of Property in Goods by the Owner

#### - When Goods are Unascertained

**Section 16 of the SGA, 1893** provides that no property in the goods will be transferred to the buyer unless and until the goods are ascertained.

In other words, ownership can only pass when the goods are **appropriated** to the contract, that is, set aside or identified, labeled, separated from the bulk, etc., with the firm intention that these are the goods covered by the Contract.

In the case of **Aldridge v Johnson**, the buyer ordered for a quantity of grains. The seller then bagged that quantity of grains to be collected by the buyer. It was held that the bagging signified an UNCONDITIONAL APPROPRIATION and ASCERTAINMENT of the goods.

Until goods are appropriated or ascertained, no property in the goods can pass to the buyer because there is merely an agreement to sell.

Note also that the distinction between ascertainment and appropriation is that:

“While ASCERTAINMENT can be done by the seller alone, APPROPRIATION involves the element of mutual consent of the seller and the buyer”.

However, when the goods are ascertained or unconditionally appropriated to the Contract, then the provisions of **Section 17 of the SGA, 1893** will apply.

#### - When Goods are Ascertained (Specific)

According to **Section 17 of the SGA, 1893**, where there is a Contract for the sale of specific or ascertained goods, the property in the goods passes to the buyer at such time as the parties intend it to pass, and this intention of the parties can be ascertained by looking at the terms of the contract, the conduct of the parties and the Circumstances of the case.

However, where all recourse to the above **Section 17** fails to reveal the time when property is to pass to the buyer, then the rules provided or prescribed under **Section 18 of the SGA, 1893** will apply.

As noted earlier, where the provisions of **Sec. 17** fails to reveal the intention of the parties as to when property is to pass, the rules in **Sec. 18** will apply which starts as follows:

**Section 18** - Unless a different intention appears, the following are rules for ascertaining the intention of the parties as to the time at which property in the goods is to pass to the buyer.

**Rule 1** – Where there is –

- a) an UNCONDITIONAL CONTRACT
- b) for the sale of SPECIFIC GOODS
- c) which are in a DELIVERABLE STATE,

**the property in the goods passes to the buyer when the contract is made**, and it is immaterial (irrelevant) whether the time of payment or the time of delivery, or both (payment & delivery), be post-poned.

For this rule to apply, certain conditions must be present or satisfied. They are:

1. No contrary intention should have been expressed in or implied from the contract of the parties.
2. The contract must be one which does not contain a condition precedent or condition subsequent that may have the effect of suspending performance of the contract or the passing of property.

Where the contract is conditional, it may contain something that must be fulfilled before contract or contractual obligations can come into effect. In other words, if the condition is not met, the contract or contractual obligation will not be valid.

- 3) The goods must be Specific goods. **Section 62 of the SGA** defines specific goods as “**goods identified and agreed upon at the time a contract of sale is made**”.

In **Kursell v Timber Operators**, the plaintiff sold to the defendants all trees in a forest of certain measurement, and the defendants were given 15 years within which to remove the timber. Soon after the contract was made, a law was passed to confiscate the forest (i.e. state taking over the forest). The question arose as to whether the sale was that of specific goods within the meaning

of **Rule 1**. It was held that property in the trees had not passed to the defendants buyer because the trees of the specified measurement had not been sufficiently identified, since not all the trees in the forest were to pass but only those conforming to the stipulated/specified measurements.

4) It must also be shown that the goods are in a deliverable DELIVERABLE STATE, in order to enable property to pass. **Section 62(4) of the SGA, 1893**, goods are in a deliverable state when they are in such a state that the buyer would under the contract be bound to take delivery of them. In other words, goods are in a deliverable state if they are ready for delivery and do not require any work or repair to be done on them.

In the case of **Tarling v Baxter**, a farmer sold goods, which remained on his farm to be collected by the buyer. Before collection by the buyer, the goods were destroyed. It was held that the goods were in a deliverable state, and that property had passed to the buyer who therefore bore the risk of damage or loss.

Also, in **Underwood Ltd v Burgh Castle**, the contract was for the sale of a heavy machine/engine. At the time of the sale, the machine was cemented to the floor of the sellers' business premises and so, had to be detached (removed) from its concrete bed and dismantled before delivery to the buyers and in this process, the machine got damaged. It was held that the property had not passed at the time of the contract because the engine was not in a deliverable state at the time the contract was made.

Therefore, upon the satisfaction and existence of all the above mentioned conditions, the property in goods passes to the buyer when the Contract is made -Under Rule 1

**Rule 2** – Contracts under this rule are “Contracts for the sale of specific goods which are not yet in a deliverable state”.

Here, property in the goods will only pass to the buyer when the seller has taken steps or done something:

- a) to put the goods into a deliverable state, and
- b) the buyer is notified that the goods are now in a deliverable state.

In the case of **Underwood Ltd v Burgh Castle (Supra)**, it was held that property did not pass in this case because the seller had not successfully done that which he is bound to do to put the goods in a deliverable state, at the time the goods got damaged.

Another example would be: where the seller agrees in the contract to fit new tyres to the car, then the car will not be in a deliverable state until the tyres are fixed and the buyer has notice of this.

**Rule 3** – Where there is a contract for the **sale of specific goods** which are in a deliverable state but the seller is bound to weigh, measure, test or do some other act or thing with reference to the goods – for the purpose of ascertaining the price, the property in the goods does not pass to the buyer until such act or thing be done, and the buyer has notice thereof.

For this rule to apply, the obligation must be placed on the seller to do the act or thing for the purpose of ascertaining the price, and not on the buyer or someone else. Therefore, where such act or thing is to be done by the buyer or another person, **Rule 3** will not apply and property in the goods will pass to the buyer.

In the case of **Nanka-Bruce v Common Wealth Trust Ltd**, the plaintiff sold goods to the defendant under an arrangement that the defendant would resell the goods to a third-party, and that the third-party would then weigh the goods with a view to ascertain the total amount which the defendant (buyer) is to pay the plaintiff (seller). The Court held that **Rule 3** was not applicable to the contract and that the property in the goods has passed to the buyer even before the price was ascertained.

**Rule 4** – This rule covers situations where a buyer asks for goods such as a new book or machine.

By virtue of **Rule 4**, where goods are delivered to the buyer on “approval” or “Sale or return” or other similar terms, the property in the goods passes to the buyer when –

- A) He signifies his approval or acceptance to the seller or does any other act adopting the transaction.

Case:

In **Kirkham v Attenborough**, the plaintiff, a manufacturer of jewelries, forwarded jewels to one Mr. Winter on sale or return. Mr. Winter then pledged the jewelry with the defendant (Attenborough). The Court held that the act of Mr. Winter amounted to a ratification or adoption of his transaction with the plaintiff which allowed property to pass to Mr. Winter and consequently, the defendant acquired a valid title and the plaintiff could not recover the jewelry from the defendant.

b) where the buyer does not signify his acceptance or approval but retains the goods without giving notice of rejection, beyond reasonable time or beyond the time fixed for their return as the case may be.

Case:

In **Poole v Smith's Car Sales**, a Car was sent to the defendant by the plaintiff “on sale or return”. The defendant returned the Car to the plaintiff nearly three months later in a poor Condition. It was held that property had passed to the defendant under **Rule 4(b)**, since more than a reasonable time has elapsed.

Note that this rule applies only where the buyer has agreed to take the goods on this basis.

**Rule 5** – This rule deals with contracts for the sale of unascertained goods or future goods by description and goods of that description which are in a deliverable state and are unconditionally appropriated to the contract.

The appropriation may be made by the seller with the assent of the buyer, or made by the buyer with assent of the seller. Such assent may be express or implied, and may be given either before or after the appropriation is made.

Thus, under this rule, where there is a contract for the sale of unascertained or future goods by description, property in the goods passes to the buyer when —

1. The goods delivered matches its contract description,
2. The goods are in a deliverable state, and
3. The goods are unconditionally appropriated to the contract.

Goods are deemed to be unconditionally appropriated to the Contract when the seller, in pursuance of the contract, delivers the goods to the buyer or to a carrier or other bailee or custodian (whether named by the buyer or not) for the purpose of transmission to the buyer, and the seller does not reserve the right of disposal of the goods.

#### Cases:

In **Wait and James v Midland Bank**, the plaintiffs sold off 1,250 quarters of their goods, leaving a balance of 850 quarters. The Court held that the goods had been ascertained by exhaustion, and that the property in the goods has passed to the buyer.

In **Aldridge v Johnson (supra)**, the buyer ordered a quantity of grain from the seller. The seller then bagged that quantity of grain to be collected by the buyer. The Court held that the bagging signified an unconditional appropriation and ascertainment of the goods.

In **Badische v Basle Chemical Works**, the Court supported the provisions of Rule 5(2) when it noted that the posting of ordered goods vested the property in the buyer at the moment of posting → the posting which signifies an unconditional appropriation of the goods.

**Sub-Topic: Transfer of Property by a Non-Owner - *Nemo Dat Quod Non Habet* → No one can give what he does not have.**

**Section 21(1) of the SGA, 1893**, where the seller of goods is not the owner and does not sell with the authority or consent of the owner, the buyer will acquire no better title than the seller had...

See the case of: **Akoshile v Ogidan**

See also: **Section 12 of the SGA, 1893**

Thus, as a general rule, only the owner of goods or a person acting under the authority or with the consent of the owner can validly sell them and pass good title to a buyer

However, this rule is not absolute. There are several exceptions under which a non-owner of goods may pass a valid title to the buyer.

## **EXCEPTIONS**

### **1) Sale under Estoppel**

When the true owner of the goods, by his words or conduct or by any act or omission leads the buyer to belief that the person selling the goods is the owner of the goods or that the seller has authority to sell the goods, he (the owner) cannot afterwards deny the seller's authority to sell. The buyer in such a case gets a better title than the seller. This is known as estoppel.

Note that this exception can reasonably be drawn from the provisions of **Section 21(1) SGA, 1893** itself where it states that: in a sale by a non-owner, the buyer may nonetheless acquire a good title if the owner of the goods is by his conduct precluded from denying the seller's authority to sell.

#### **Cases:**

In **Eastern Distributors v Golding**, a car owner gave his car documents to a car dealer to make the dealer look like the owner of the goods, which was part of the car owner's scheme or plan to borrow money without adequate security. When the car dealer subsequently sold the car to a third party, it was held that the third party obtained good title because, although the dealer had no right to sell the car, the owner's conduct estopped him from denying the seller's right to sell.

Also, in **Henderson v Williams**, the owner of goods lying at a warehouse was induced by the fraud of X to instruct the warehouseman to transfer the goods to X, and the goods were so transferred. X then resold the goods to an innocent purchaser who, before paying the price, obtained a statement from the warehouseman that he (the warehouseman) is holding the goods on behalf of the purchaser. Upon discovering the fraud of X, the owner instructed the warehouseman not to deliver the goods to the purchaser. It was held that both the warehouseman and the owner were estopped from denying X's authority to sell the goods, and thus, the purchaser acquired a good title.

### **2) Sale by a Mercantile Agent**

A "mercantile agent" is an agent having, in the ordinary course of business as such agent, authority to sell goods or to buy goods.

Generally, under the provisions of **Sec. 21(1) SGA, 1893**, a person who sells under the authority or with the consent of the owner, can pass a valid title to the buyer. This exception is further strengthened by **Section 61(2) SGA, 1893** which provides inter alia that the rules relating to the law of principal and agent applies to Contracts of sale of goods.

Furthermore, a mercantile agent can convey a good title to the buyer even though he sells goods without having any authority from the principal to those particular goods, provided that the following conditions are satisfied:

- A) He must be in possession of the goods or documents of title to the goods in his capacity as a mercantile agent and with the consent of the owner,
- b) He must sell the goods while acting in the ordinary course of his business as mercantile agent, and
- c) The buyer must act in good faith and without having any notice, at the time of the contract, that the agent has no authority to sell.

### **3) Sale under Special/Statutory Power or Order of a Court**

This is expressly provided for in **Sec. 21(2)(b) SGA, 1893** which states that: “nothing in the SGA, 1893 shall affect the validity of any contract of sale under any special common law or statutory power of sale, or under the order of a Court of competent jurisdiction.”

In line with the above provisions, statutory power of sale is provided in many statutes, e.g.:

→ **Section 48(3) of the SGA, 1893** → the unpaid seller has a power to resell goods of a perishable nature.

→ **Section 57 of the Bankruptcy Act, 1979** → empowers a trustee to sell property of the bankrupt, etc.

Also, in relation to sale under Court order, by **Section 26(1) of the SGA, 1893** a court bailiff acting in compliance with an order of a Court may exercise a valid power of sale.

### **4) Sale in Market Overt**

The term ‘market overt’ was defined in the case of **Lee v Bayes** as: “a legally constituted market, open between the hours of sunrise and sunset and where goods for sale are openly or publicly displayed so that stander-by and passer-by could see them. Such market is equally accessible by the general public.”

**Section 22(1) of the SGA, 1893** provides that “where goods are sold in a market overt according to the usage of the market, the buyer acquires a good title to the goods provided that (or so long



as) the buyer buys the goods in good faith and without notice of any defect or want of title on the part of the seller.”

### Key notes

→ The sale must take place in accordance with the usage of the market. This means that the transaction must take place in the ordinary or customary market day and during the hours of the market and the goods for sale would normally be found and displayed in the market.

### Cases:

In the case of **Bishopgate Motors v Transport Brakers**, a hirer having possession of a car under hire purchase transaction took the car to Maidstone market and handed it over to an auctioneer to sell, which the auctioneer did. It was held that Maidstone market was a market overt and thus, the purchaser/buyer acquired good title.

In the case of **Reid v Metropolitan Police Commissioner**, a sale took place in a market overt but before sunrise. It was held that **Sec. 22(1) SGA, 1893** did not apply. The court stated here that the goods should have been sold at day-time (business hours) when all who passed could see the goods.

→ It must be proved that the buyer bought the goods in good faith and without notice of defect or want of title on the part of the seller.

→ The seller must not necessarily be a trader in the market, but the goods must be such as are usually or normally sold in the market.

→ The sale must be by, and not to, the shopkeeper.

However, if the goods are stolen goods and the thief is prosecuted afterwards and convicted, property in the goods reverts to the true (original) owner, whether there had been a sale in market overt or other intermediate dealing on the goods, as contained in **Section 24 of the SGA, 1893**.

E.g.: If A steals B's goods and sells the goods in market overt to C, C will acquire a good title to the goods. But if after the sale passing good title to C, A is subsequently convicted of theft, C's title ceases and B's title revives.

### **5) Sale by a Person having Voidable Title**

Generally, a person who buys goods under a voidable Contract acquires only a voidable title to the goods. By virtue of **Section 23 of the SGA, 1893** such a person having a voidable title may pass or transfer good/valid title to a bona fide purchaser who buys the goods in good faith and without notice of the seller's defect of title. However, for this Section to apply, the sale must have been concluded before the voidable title of the seller is avoided.



### Cases:

In **Philips v Brooks**, the seller, who had voidable title to goods, pledged the goods with a pawn broker before the voidable title could be set aside or avoided. It was held that the pawn broker who acquired the goods in good faith and without notice of any defect of title has acquired a valid title to the goods, which could not be subsequently rescinded by the original owner.

Similarly, in **Kings Norton Metal Co. Ltd v Edridge Merrette**, a seller with voidable title sold goods to a bona fide purchaser before his voidable title could be avoided. It was held that property in the goods passed to the purchaser who bought the goods in good faith and without notice of the seller's defect of title.

### **6) Sale by a Seller in Possession**

**Section 25(1) SGA, 1893** provides to the effect that, where a seller, after selling the goods, continues to be in possession of the goods or of the documents of title to the goods, and again sells the same goods either himself or through a mercantile agent, he will convey or pass a good title to the subsequent buyer or pledgee provided that such buyer or pledgee acts in good faith and without notice or knowledge of the previous sale.

For this exception to apply

① The seller must be in possession of the goods as seller and not as hirer or bailee. In the case **Staff Motor Guarantee v British Wagon**, a car dealer sold a car to a finance company. The finance company hired the car out to the car dealer on hire purchase terms. The car dealer, while in possession of the car as a hirer, later sold the car to a third party. The Court held that the car dealer could not pass a valid title to the third party since the car dealer was in possession of the car as a hirer and not as a seller — and it is immaterial that the third party bought the car in good faith and without notice of the previous sale/defective title.

### **7) Sale by a Buyer in Possession**

**Section 25(2) SGA, 1893** provides that:

1. Where a person having bought or agreed to buy goods,
2. Obtains possession of the goods or documents of title with the consent of the seller before payment,
3. Then subsequently resells and delivers the goods (or documents of title) to a third party who buys and receives the goods or documents of title in good faith and without notice of any lien or other right of the original seller in respect of the goods,
4. Then a good valid title will pass to the third party (subsequent buyer).

In the case of **Gamer's Motor Centre v Natwest**, the appellants (GMC), agreed to sell 8 motor vehicles to a dealer. It was a term of the sale that property in the vehicles will not pass to the dealer until the appellant was paid fully. The appellant was never paid. The dealer signed some documents described as "delivery receipts" which acknowledged that the dealer had taken delivery of the vehicles according to the terms of the contract, which terms allowed the dealer to retain possession of the vehicles. The dealer then purported to sell the same vehicles to the respondent and thus delivered them to the respondent. It was held that the respondent acquired a good title under this exception.

Similarly, in **Newton of Wembley Ltd v Williams**, the plaintiff agreed to sell a car to (A) on a condition that property should not pass until full payment is made (i.e, until the payment is cleared). The Cheque was dishonoured but (A) had already sold the car to (B) who resold it to the defendant. It was held that since (B) bought the car in good faith and without notice of (A)'s defective title, he had acquired a good title.

#### Conditions

- The buyer (person selling) must be in possession of the goods or documents of title with the consent of the seller, whether or not the consent is obtained by fraud.
- There must be actual delivery of the goods or documents of title to the sub-buyer.